

2024/oct/nov/13

1-D:

Option **D** is correct because a straight-line production possibility curve shows that the **opportunity cost of producing food and drink is constant**. Resources are equally efficient in both uses, so shifting production from one good to the other always requires sacrificing the same amount of output.

Option **A** is incorrect because whether a good is “normal” is determined by income elasticity of demand, not by the shape of the PPC. A PPC only indicates maximum output combinations that can be produced in an economy given its resources.

Option **B** is incorrect because a country on its PPC is not necessarily self-sufficient. The PPC only reflects production capacity given resource constraints, and does not show that a country is self-sufficient.

Option **C** is incorrect because falling opportunity cost requires a convex PPC.

2-B:

Option **B** is correct because a free good does not use scarce resources and has zero opportunity cost. In economic theory, free goods are available in unlimited quantities at no cost, meaning no trade-off is required to consume them, unlike economic goods where producing more of one good means sacrificing another.

Option **A** is incorrect because an economic good always uses scarce resources, which means its production carries an opportunity cost.

Option **C** is incorrect because a merit good, such as education or healthcare, requires resources to provide and therefore is not free of opportunity cost.

Option **D** is incorrect because even public goods like street lighting still require government spending and real resources to produce, despite being non-rival and non-excludable.

3-D:

Option **D** is correct because land earns rent. Land is a natural resource, and payments for its use are called rents.

Option **A** is incorrect because capital earns interest, not surpluses, as it represents financial or physical resources used for production.

Option **B** is incorrect because enterprise earns profit, not dividends. Dividends are a distribution to shareholders, whereas profit is the entrepreneur’s reward for risk-taking.

Option **C** is incorrect because labour earns wages or salaries, not interest, as compensation for effort and time.

4-B:

Option **B** is correct because **division of labour increases productivity**. When workers specialise in narrow tasks, they gain skill, speed, and efficiency, leading to higher output per worker. This reflects Adam Smith's analysis of specialisation as a driver of economic growth.

Option **A** is incorrect because division of labour tends to reduce creativity and innovation, as workers perform repetitive tasks rather than engaging in varied problem-solving.

Option **C** is incorrect because specialisation reduces workforce flexibility. Workers trained for one task cannot easily switch to another, creating rigidity.

Option **D** is incorrect because division of labour can lower job satisfaction due to monotony, rather than improve it.

5-B:

Option **B** is correct because advertising the benefits of a merit good increases its demand, while legal controls on a demerit good reduce its supply. Merit goods like education are under-consumed due to imperfect information, so public campaigns shift demand to the right. Demerit goods like cigarettes impose negative externalities, so legal restrictions limit output and discourage consumption.

Option **A** is incorrect because imposing a minimum price on a merit good would reduce affordability and discourage consumption rather than encourage it.

Option **C** is incorrect because limiting access to a merit good by applying age limits would worsen under-consumption, even though taxing output of demerit goods would be a suitable policy measure, aimed at reducing consumption.

Option **D** is incorrect because subsidising a merit good would increase supply, thereby helping to solve the issue of under-allocation, but mandating a minimum output level for a demerit good would increase its availability, contradicting policy goals.

6-B:

A higher leather price raises the production cost of leather shoes. This reduces supply, causing a leftward shift in the supply curve of leather shoes. As a result, there are shortages, which causes the price of leather shoes to rise. This results in contraction in quantity demanded of leather shoes. Consequently, consumers respond by switching to alternative footwear (e.g., synthetic shoes). This increases the **demand** for substitutes, shifting the **demand curve for substitute shoes right**. Hence, making key B correct.

Option **A** is incorrect because the demand for leather shoes would not shift; instead, there would be a contraction along the demand curve as price rises.

Option **C** is incorrect because the supply curve for leather shoes would shift left, not right, as input costs increase and profitability falls.

Option **D** is incorrect because the supply of substitute shoes does not automatically shift right when leather prices rise; it is consumer demand, not production cost of substitutes, that is directly affected in this scenario.

7-C:

Option **C** is correct because encouraging private home ownership increases demand for private houses, raising their prices.

While reducing reliance on rented apartments lowers demand for state rented apartments, thereby decreasing rents.

This reflects basic demand–supply analysis: $D \uparrow$ for houses $\rightarrow P \uparrow$, $D \downarrow$ for rented apartments $\rightarrow P \downarrow$.

8-B: Percentage change is calculated by $(\text{New}-\text{Old}/\text{Old}) \times 100$

Supply Equation:

$$S = 10 + 10P$$

When $P = 1$:

$$S_1 = 10 + 10(1) = 20$$

When $P = 2$:

$$S_2 = 10 + 10(2) = 30$$

Step 1: Calculate percentage changes

Change in quantity supplied = $30 - 20 = 10$

$$\% \Delta Q = (10 / 20) \times 100 = \mathbf{50\%}$$

Change in price = $2 - 1 = 1$

$$\% \Delta P = (1 / 1) \times 100 = \mathbf{100\%}$$

Step 2: Calculate PES : Price elasticity of supply = $\% \Delta Q \div \% \Delta P$
= $50\% \div 100\% = \mathbf{0.5}$

Correct answer: B (0.5) Option **B** is correct because price elasticity of supply is 0.5. At price 1, quantity supplied is 20 units; at price 2, quantity supplied is 30. The percentage change in quantity is 50%, while the percentage change in price is 100%, giving $PES = 0.5$. This indicates inelastic supply since quantity responds proportionally less than price.

9-C:

Option **C** is correct because a positive cross-price elasticity of demand (+1.4) shows the good is a substitute, while a negative income elasticity of demand (−0.8) shows it is inferior. This means consumers switch to this good when the price of another good rises, but reduce consumption of it when their income increases.

Option **A** is incorrect because complements require XED to be negative, meaning demand would rise when the price of the related good falls.

Option **B** is incorrect because a normal good requires positive YED, meaning demand rises with income, which is not the case here.

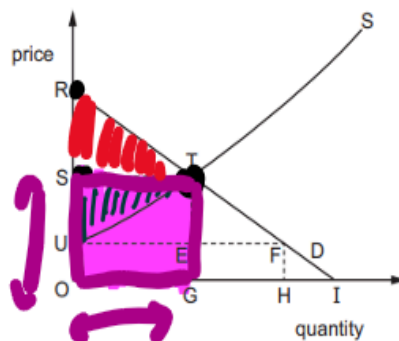
Option **D** is incorrect because it classifies the good as normal, contradicting the negative YED.

10-B:

Option **B** is correct because the diagram shows consumer surplus as area RST, producer surplus as area UST, and total consumer expenditure as STGO.

Consumer surplus is the area below the demand curve and above price, producer surplus is above the supply curve and below price, and expenditure is the price–quantity rectangle.

10 Different areas on the diagram represent different aspects of a market.



C.S = RST
P.S = UST
TOTAL expenditure = STGO
(P x Q)

Which row correctly identifies the three variables shown?

	consumer surplus	producer surplus	total consumer expenditure
A	RST	TUOG	STEU
B	RST	UST	STGO
C	RTU	UTE	STGO
D	RTEU	TEF	RFU

11-A:

Option **A** is correct because an inferior good is defined by a negative income elasticity of demand: when consumers' incomes fall they buy more of the inferior good, so a fall in income shifts the entire demand curve to the right.

This is a non-price determinant of demand (income) causing a shift rather than a movement along the curve; the chain is: income↓ → preference shifts toward cheaper/inferior good → demand curve of inferior goods shifts right.

Option **B** is incorrect because a price decrease for the inferior good causes a movement along the demand curve (more quantity demanded at the lower price) rather than a shift in the demand curve.

Option **C** is incorrect because for a normal good, a fall in income reduces demand (a leftward shift), so a normal good combined with an income decrease would not shift demand right.

Option **D** is incorrect because a price decrease is a change in the good's own price (a movement along the demand curve), and the question asks about causes of a rightward **shift**; price changes are not the relevant non-price determinant.

12-B:

Option **B** is correct because the free-rider problem arises for public goods which are non-excludable and non-rivalrous; private markets do not provide them at all since individuals can benefit without paying. Direct government provision ensures provision and resolves the issue related to the non-provision of public goods by the free market. Hence, key A becomes correct.

Option **A** is incorrect because an advertising campaign cannot overcome non-excludability; advertising might raise awareness but does not stop free riding.

Option **C** is incorrect because imposing a minimum price is irrelevant to public goods: price mechanisms fail when there is non-excludability, as there is no appropriate mechanism to charge prices.

Option **D** is incorrect because taxing a substitute good does not address the core problem of non-excludability of public goods.

13-B:

Option **B** is correct because very low interest rates reduce returns to savers, often a major part of retired people's income, so retirees see income fall. At the same time a large rise in house prices increases the wealth of homeowners.

Retired people who own their houses therefore face the combination specified: income↓ (lower interest income) and wealth↑ (higher house values). Hence, making key B correct.

Option **A** is incorrect because retired people living in rented houses would not gain from house-price rises (they do not own the asset), so they do not get the simultaneous increase in wealth.

Option **C**: Young people won't substantially experience the fall in interest income as they don't have higher savings, as compared to the retirees.

They are buying their own houses, and don't own a house yet, so they **cannot gain wealth** from rising house prices. Higher prices just make houses more expensive to buy, which is a disadvantage, not a source of wealth.

Option **D** is incorrect because young people living with parents do not typically gain directly from higher house prices (their parents do) and they do not uniquely experience the fall in interest income as they don't have higher savings, as compared to the retirees.

14-A:

Option **A** is correct because if labour and capital are substitutes, subsidising capital equipment lowers the price of capital and encourages firms to replace labour with capital.

The chain is: subsidy on capital → cost of using capital falls → firms substitute capital for labour → quantity of capital used increases and quantity of labour demanded falls.

15-B: Let's calculate this **step by step, year by year**, applying a **2% fall per year** (deflation):

- **Start price index:** 100 (for simplicity).
- **After Year 1:** $100 \times 98\% = 98$
- **After Year 2:** $98 \times 98\% = 96.04$
- **After Year 3:** $96.04 \times 98\% = 94.1192$
- **After Year 4:** $94.1192 \times 98\% = 92.2368$ (≈ 92.24)

Now, compare the start and end price levels:

- Initial price level = 100
- Final price level ≈ 92.24
- **Overall fall = $100 - 92.24 = 7.76\%$ (less than 8%)-** Hence, key B is correct.

A- ($2\% \times 4 = 8\%$) is the incorrect way of doing it. With 2% deflation each year the new price index multiplies by 0.98 each year.

C and D: Incorrect. Deflation increases the purchasing power (real value) of money, not reduces it. Over the four years, the real value of money **rose**.

16-C:

Option **C** is correct because **in the circular flow of a four sector economy**, the national income is in equilibrium when:

Total injections equal total leakages i.e. $(I + G + X = S + T + M)$.

Thus, even if $I \neq S$, equilibrium can still hold if other injections and leakages offset the difference. Equilibrium is therefore about the equality of total injections and total leakages, **not the equality of any single pair alone**.

Option **A** is incorrect because Y and C are not necessarily the same at equilibrium; consumption is only one component of Aggregate expenditure and equilibrium requires **$Y=AE$** .

Option **B** is incorrect because governments do not always adjust G to achieve equilibrium.

Option **D** is incorrect because $X = M$ is not a necessary condition for national income equilibrium; net exports are one component of injections/leakages and can be balanced by other items.

17-D:

Option **D** is correct because frictional unemployment results when more workers voluntarily leave jobs to search for better ones. Therefore, the time spent between jobs rises and frictional unemployment increases. Frictional unemployment represents short-term mismatches caused by job search and information frictions.

Option **A** is incorrect because recession-driven job loss causes cyclical unemployment, not frictional.

Option **B** is incorrect because replacement of workers with computers is structural unemployment (technological unemployment), not frictional.

Option **C** is incorrect because a structural change from agriculture to industry creates structural unemployment, not frictional unemployment.

18-B:

Step 1: Calculate Net Domestic Product (NDP) at Market Prices

Formula:

NDP at market prices = GDP at market prices – Capital consumption

Calculation:

NDP = 200,000 – 30,000 = **170,000 million**

Step 2: Calculate Indirect Taxes

GDP at market prices = GDP at basic prices (factor prices) + Indirect taxes – Subsidies

Rearranged Formula:

Indirect taxes = GDP at market prices – GDP at basic prices + Subsidies

Calculation:

Indirect taxes = 200,000 – 180,000 + 5,000 = **25,000 million**

Hence, key B is correct.

19-B:

If building the hospital requires importing a large amount of expensive materials, the immediate effect is a **cost-push inflationary pressure**: the country must pay more for imported inputs, which raises domestic production costs, consequently causing Aggregate Supply to decrease, thereby contributing to cost-push inflation.

At the same time, **low unemployment means the economy is already close to full capacity**. Any additional government spending (such as constructing a hospital) will increase Aggregate demand. When resources are fully utilised, this results in **demand-pull inflationary pressure**, as more spending competes for scarce labour and equipment, bidding up wages and prices.

With both **cost-push inflation (from high imports)** and **demand-pull inflation (from low unemployment)** operating together, the price level is likely to rise the most. Hence making B the correct.

20-D:

Option A – When interest rates are reduced, the cost of borrowing falls. This makes loans cheaper for firms, encouraging them to borrow more for investment. Borrowing by firms would rise, not decrease, so this option is incorrect.

Option B – Lower interest rates reduce the cost of credit cards, mortgages, and personal loans. Households find it easier to finance purchases, so consumer spending tends to increase rather than decrease. This means option B is also incorrect.

Option C – Interest rate cuts usually lead to a depreciation of the domestic currency because investors seek higher returns elsewhere, leading to a fall in the demand for our currency. A weaker currency makes imports more expensive, not cheaper, so import prices would rise rather than fall. Hence, option C is wrong.

Option D – When the domestic currency depreciates due to lower interest rates, the price of exports expressed in foreign currency terms falls. This makes exports cheaper for overseas buyers, so export prices are most likely to decrease, making option D correct.

21-C:

Option **C** is correct because the statement is not accurate.

A reduction in government infrastructure spending will lower an economy's long-run aggregate supply (LRAS) by weakening productive capacity over a period of time.

However, it does not have a short-term expansionary effect on aggregate demand (AD); it has the opposite impact, reducing AD because government spending itself is a component of aggregate demand. This is primarily why key C becomes incorrect.

Option **A** is incorrect because it is true that higher government spending to support technical progress can raise LRAS over time while creating some short-term inflationary pressure due to a rise in Aggregate demand if the economy is near full capacity.

Option **B** is incorrect because spending on training boosts human capital, shifting LRAS to the right, and as part of government expenditure it also adds to AD in the short term.

Option **D** is incorrect because reducing higher-income tax rates can increase incentives to work, save, and invest, raising LRAS, while also boosting AD as disposable incomes rise, which lead to a rise in consumption.

22-A:

Option **A** is correct because this combination of fiscal changes is most likely regressive. Lowering the income threshold at which tax is first paid draws poorer workers into the tax net, reducing their disposable income.

At the same time, cutting inheritance tax mainly benefits the wealthy since inheritance tax is a progressive tax, as only high-value estates are affected. Together, these measures worsen the distribution of income and wealth: low earners pay proportionally more tax, while the rich face less taxation on inherited assets.

This reflects a regressive shift in fiscal policy: a higher tax burden on the poor and a lighter burden on the rich.

Option **B** is incorrect because reducing doctor visit charges and increasing unemployment benefits both help low-income groups, making fiscal policy more progressive rather than regressive.

Option **C** is incorrect because higher tax rates on top incomes and higher corporation tax fall on wealthier individuals and companies, which tends to reduce inequality rather than worsen it.
Option **D** is incorrect because raising the standard income tax rate while cutting goods and services tax can make policy more progressive. Also, indirect taxes like GST are regressive, so reducing them helps poorer households more.

23-A:

Option **A** is correct because a budget surplus means government revenue exceeds expenditure. This occurs when taxation and other receipts are greater than government spending, reducing the need to borrow and often used to pay down public debt.

Option **B** is incorrect because imports exceeding exports describes a BOT deficit, not a budget surplus.

Option **C** is incorrect because a budget surplus is the opposite of an expansionary fiscal stance. It means that $t > g$, hence representing contractionary fiscal policy.

Option **D** is incorrect because a budget surplus usually reduces the growth of national debt.

24-A:

Option **A** is correct because subsidising domestic manufacturing lowers production costs, encouraging firms to produce more and boosting aggregate supply. Higher output contributes to economic growth.

Option **B** is incorrect because subsidies on domestically manufactured goods reduce reliance on imports by making domestic goods more cheaper and attractive to consumers, so imports of manufactured goods are likely to fall, not rise.

Option **C** is incorrect because a production subsidy tends to reduce costs of production and may increase Aggregate Supply, which means that it can lower prices.

Option **D** is incorrect because subsidies encourage employment in domestic industries rather than raise unemployment.

25-A:

Option **A** is correct because this statement is not a valid explanation. Saying “the balance of payments account must always balance” is not a reason for allowing a current account deficit to persist. While the overall balance of payments always balances, this does not justify policy inaction.

Option **B** is incorrect because foreign direct investment in the financial account can indeed help finance a current account deficit, making it less immediately harmful.

Option **C** is incorrect because a surplus in other components of the balance of payments (such as capital inflows) can offset a current account deficit.

Option **D** is incorrect because cheap imports may raise living standards in the short run, explaining why a government might tolerate a current account deficit.

26-A:

A country is producing at point X on its production possibility curve, where it makes **5,000 cars** and **1,000 trucks**.

If it **devotes all resources to producing cars**, it can produce **10,000 cars** and **0 trucks**.

So:

1. **Extra cars produced** = $10,000 - 5,000 = 5,000$ extra cars
2. These **5,000 cars are exported**
3. **Exchange rate** = for 4 cars exported → 1 truck can be imported
4. **Imported trucks** = $5,000 \div 4 = 1,250$ trucks

Now compare this to the original situation:

- **Original trucks at point X** = 1,000
- **New total trucks after trade** = 1,250
- **Extra trucks gained** = $1,250 - 1,000 = 250$ extra trucks

So, the country ends up with **1,250 trucks in total**, which is **250 more than before**. Hence, the correct option is key A.

27-B:

Option **B** is correct because a relatively high rate of inflation makes a country's goods more expensive than foreign goods, reducing export competitiveness and encouraging imports. This leads to a current account deficit as import expenditure rises and export revenues fall. Domestic inflation above foreign inflation worsens the trade balance.

Option **A** is incorrect because a domestic recession reduces import demand and often improves the current account.

Option **C** is incorrect because an undervalued exchange rate makes exports cheaper and imports more expensive, which improves rather than worsens the current account.

Option **D** is incorrect because high labour productivity improves cost competitiveness and export performance, making a deficit less likely.

28-C:

A total ban on imports is an **embargo**, while requiring imports to meet specified standards is an **administrative barrier**. Both are non-tariff forms of protectionism but serve different purposes: embargoes block goods entirely, while standards regulations restrict market access indirectly.

29-B:

Option **B** is correct because a country's terms of trade improve when import prices fall while export prices remain unchanged. Each unit of exports can now buy more imports, improving the price ratio (export price index $\div$ import price index $\times$ 100).

Option **A** is incorrect because if export prices fall more than import prices, the terms of trade worsen rather than improve.

Option **C** is incorrect because an increase in the *value* of exports relative to the value of imports will improve the Balance of Trade position of an economy, and not necessarily the terms of trade position.

Option **D** is incorrect because a higher export *volume* relative to import volume does not define an improvement in terms of trade, which depends on price changes.

30-B:

Option **B** is correct because when the international value of a currency rises (appreciation), exports become more expensive in foreign markets, reducing their volume. At the same time, imports become cheaper in domestic currency terms.

In other words, appreciation $\rightarrow$ export competitiveness $\downarrow \rightarrow$ export volume $\downarrow$.

Option **A** is incorrect because a stronger currency does not reduce the foreign-currency price of exports, rather it increases it.

Option **C** is incorrect because a stronger currency lowers, not raises, the domestic-currency price of imports.

Option **D** is incorrect because an appreciation reduces the domestic level of inflation. Currency appreciation makes imports cheaper, lowering costs for firms. This reduces cost-push inflation. It also makes exports less competitive and slows aggregate demand, easing demand-pull inflation. Overall, appreciation helps contain domestic inflation.

